

When it came time to do her taxes, Aileen's accountant gave her the bad news. She owed the IRS \$2,000. Since Aileen did not have the money to pay this amount, she just ignored it. The next year came and again she owed \$2,000. Now her total debt to the IRS was \$4,000. This did not include all the extra penalties that were assessed for being overdue. The IRS was starting to pursue Aileen for this money.

The collection methods available to the IRS are more aggressive than normal creditors. While normal creditors can legally garnish (take) only up to 25 percent of your disposable income, if you run afoul of Uncle Sam (taxes), he can take out as much as he wants from your daily wages. In addition, debts owed to the IRS are not dischargeable in a bankruptcy. Therefore, Aileen had no way to make this debt go away. The longer she ignored it, the worse her situation would become.

Aileen ended up making long-term payment arrangements with the IRS to catch up on the taxes she owed. She also went back to personnel and changed her W-2 form to the correct amount of withholdings that she should have been claiming. Finally, she moved out of her apartment into another one with a much lower rent. These changes were enough to make her financial situation manageable.

Aileen learned some important facts about taxation in the process:

- Money is withheld for federal, state, and sometimes city income taxes for reasons such as police, roads, and disaster relief.
- The FICA (Federal Insurance Contributions Act) tax pays for Social Security and Medicare.
- Additional deductions may be made for unemployment insurance, parking fees, dues, medical insurance, and an employer retirement plan.

